

STATE OF NEW YORK

7132--A

2025-2026 Regular Sessions

IN SENATE

April 1, 2025

Introduced by Sen. PARKER -- read twice and ordered printed, and when printed to be committed to the Committee on Energy and Telecommunications -- reported favorably from said committee and committed to the Committee on Finance -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the public authorities law, in relation to requiring the establishment of a renewable hydrogen incentive program

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The public authorities law is amended by adding a new
2 section 1885 to read as follows:

3 § 1885. Establishment of a renewable hydrogen incentive program. 1.
4 The legislature hereby finds and declares that:

5 (a) the climate leadership and community protection act (CLCPA)
6 requires significant reductions in greenhouse gas emissions, including a
7 forty percent reduction in statewide greenhouse gas emissions by two
8 thousand thirty and an eighty-five percent reduction in statewide green-
9 house gas emissions by two thousand fifty;

10 (b) in order to meet these aggressive targets, it is necessary to
11 further develop renewable energy sources, including renewable hydrogen;

12 (c) renewable hydrogen has significant potential to contribute to
13 responsible decarbonization in the future, and there are efforts under-
14 way in New York, at the federal level and globally to determine the
15 potential of this technology;

16 (d) renewable hydrogen has the ability to decarbonize sectors that are
17 difficult to electrify, including the transportation and industrial
18 sectors, as well as the gas pipeline system;

19 (e) decarbonization of these sectors will provide substantial benefits
20 to disadvantaged communities;

21 (f) supporting the further development of the renewable hydrogen
22 industry will offer new opportunities for developing and employing New

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 York's workforce and will help ensure that the availability of well-paid
2 jobs with good benefits will continue in New York's clean energy future;
3 and

4 (g) therefore, it is the intent of the legislature to support the
5 development of the renewable hydrogen industry in New York in order to
6 achieve the greenhouse gas emissions reduction goals of the CLCPA,
7 provide benefits to disadvantaged communities, create jobs, and provide
8 new clean technology to decarbonize challenging sectors.

9 2. As used in this section:

10 (a) "eligible hydrogen project" means a project located in New York
11 related to the production, processing, delivery, storage or end use of
12 renewable hydrogen for the purpose of reducing greenhouse gas emissions
13 consistent with the CLCPA;

14 (b) "renewable hydrogen" means hydrogen produced using renewable ener-
15 gy sources and/or produced with a carbon intensity equal to or less than
16 two kilograms of carbon dioxide equivalent produced at the site of
17 production per kilogram of hydrogen produced; and

18 (c) "renewable energy sources" means hydroelectric, geothermal, solar
19 photovoltaic, wind, tidal, wave, or biogas energy sources.

20 3. No later than December thirty-first, two thousand twenty-five, the
21 authority shall, in consultation with the public service commission,
22 establish a program to support the production, processing, delivery,
23 storage, or end use of hydrogen in New York for the purpose of meeting
24 the greenhouse gas emissions goals of the CLCPA. In establishing the
25 program, the authority, in consultation with the public service commis-
26 sion, shall:

27 (a) establish criteria and guidelines for financial incentives
28 provided for eligible hydrogen projects;

29 (b) provide financial incentives for eligible hydrogen projects that
30 provide reductions in greenhouse gas emissions, prioritizing those
31 eligible hydrogen projects that provide workforce benefits, including
32 job retention, creation or training, or benefits to disadvantaged commu-
33 nities as defined in article seventy-five of the environmental conserva-
34 tion law; and

35 (c) identify any barriers to the widespread development of renewable
36 hydrogen, including within disadvantaged communities as defined in arti-
37 cle seventy-five of the environmental conservation law.

38 § 2. This act shall take effect immediately.